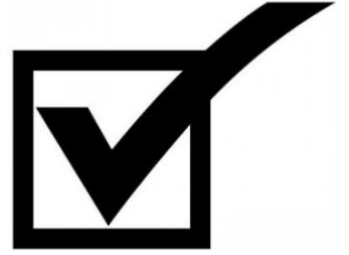




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FINANCIAL ANALYST TEAM

(150)

PRELIMINARY
STATE 2022

Initial Case Study Topic:

GoGo Corp. is a popular fashion retailer with 733 locations in North America at the beginning of 2020, as well as an online presence in the US. GoGo's corporate model is based on providing sustainable fashion at an affordable price. GoGo sells clothing and accessories for women, men, and children with a focus on diversity. The company has three strategic focus areas: to provide the customer with products that are unique, diverse, and sustainable; to be accessible to customers through both the design of their physical stores and the online experience; and corporate growth and expansion.

In 2019, GoGo made a commitment to only partner with suppliers who have demonstrated that they are supportive of healthy workplaces and healthy ecosystems (including such aspects as health and safety, discrimination, diversity and equality, fair living wages and benefits, working hours, child labor and young workers, as well as prison and illegal labor). GoGo also publicly stated their goal to use 100% recycled products or sustainably produced materials by 2040. The vision of the GoGo group is to lead the change towards circular and climate positive fashion while being a fair and equal company. Although sustainably resourced materials are more expensive, GoGo corporate management has believed that customers will reward companies with a strong commitment to environmental and social change.

The first quarter of 2020 started strong, with Quarter 1 net sales increasing by five percent compared with the same quarter of the previous year. However, the COVID-19 pandemic took a toll on the company's bottom line. Georgiana Gregory, the founder and CEO, has stated that "the company's quick and decisive measures, combined with wise and loyal customers, has led to better recovery than was expected." During 2020, online sales increased by 38 percent, and represented 28 percent of total sales for the year. Meanwhile, GoGo chose to permanently close eleven stores. GoGo was able to effectively reduce their selling and administrative expenses during 2020, largely through renegotiation of rental agreements. One quarter of the company's leases are eligible to be renegotiated each year. Women's clothing has traditionally accounted for 73 percent of all sales, with children's clothing accounting for 14 percent and men's clothing the remainder. During 2020, sales of men's clothing declined by 16 percent, while sales of women's clothing declined by 11 percent and children's clothing by six percent.

Despite the pandemic, GoGo was able to turn a profit in 2020. However, they are concerned about their financial future. The GoGo team would like you to prepare the appropriate financial statements and financial ratios, analyze their current financial situation, make projections regarding GoGo's future given the current economic situation, and make recommendations to improve their corporate viability.

State Prelims

Recent news has caused a stir within GoGo Corporation. The biggest supplier GoGo uses for women's clothing has recently come under fire for possibly violating child labor laws in one of their foreign plants. The manufacturer accounts for approximately 25% of the women's line for GoGo and has been a supplier since the beginning of the GoGo Corporation. Because of its long-standing relationship, the supplier consistently offers its items cheaper than most other suppliers GoGo uses. Should GoGo act upon this news, and if so, how?

GoGo Corp.					
Trial Balance					
As of December 31					
(in millions)					
	2020	2019	2018	2017	2016
Cash	2,892	159	734	3,291	1,440
Accounts Receivable	455	1,075	1,053	636	682
Inventory	5,632	8,048	7,238	4,045	4,435
Prepaid Expenses	507	542	480	332	289
Other Receivables	353	317	267	225	354
Buildings & Land (net)	110	149	138	99	119
Equipment & Store Fixtures	4,554	7,328	6,925	4,678	5,289
Notes Receivable (due in 10 years)	134	167	147	125	142
Accounts Payable	1,402	1,433	1,132	866	1,015
Accrued Expenses	2,930	4,702	3,856	2,285	2,355
Notes Payable (due in next year)	1,164	1,289	1,546	1,169	289
Other Current Liabilities	292	818	632	441	704
Pensions	90	93	74	53	74
Notes Payable	1,243	1,947	1,746	42	30
Common Stock	29	29	29	29	29
Dividends	171	2,951	2,686	1,958	2,266
Retained Earnings (January 1)					7,915
Sales	27,567	42,554	35,018	27,807	26,874
Cost of Goods Sold	13,779	20,166	16,562	12,779	12,033
Selling Expenses	8,648	15,752	13,088	10,097	9,608
Administrative Expenses	1,145	1,444	1,179	891	840
Depreciation Expense	3,538	2,020	1,610	1,180	1,063
Interest Revenue	37	69	49	39	31
Interest Expense	191	61	24	6	1
Income Taxes	119	722	497	643	755

A team will be *disqualified* for violations of the [Copyright and Fair Use Guidelines](#).

Potential Questions for Financial Analyst Team

- Based on your recommendation regarding GoGo's supplier who may have violated child labor laws, what are some of the unintended consequences of GoGo acting or not acting on the news?
- Is there a point where the financial sustainability of the company becomes more important than the company's commitment to environmental and humanitarian sustainability?

Key:

GoGo Corp.
Income Statement
For the Year Ended December 31
(in millions)

	2020	2019	2018	2017	2016
Sales	27,567	42,554	35,018	27,807	26,874
Cost of Goods Sold	(13,779)	(20,166)	(16,562)	(12,779)	(12,033)
Gross Profit	13,788	22,388	18,456	15,028	14,841
Selling Expenses	8,648	15,752	13,088	10,097	9,608
Administrative Expenses	1,145	1,444	1,179	891	840
Depreciation Expense	3,538	2,020	1,610	1,180	1,063
Total Operating Expenses	13,331	19,216	15,877	12,168	11,511
Income from Operations	457	3,172	2,579	2,860	3,330
Interest Revenue	37	69	49	39	31
Interest Expense	(191)	(61)	(24)	(6)	(1)
Income before Taxes	303	3,180	2,604	2,893	3,360
Income Tax Expense	(119)	(722)	(497)	(643)	(755)
Net Income	184	2,458	2,107	2,250	2,605

Note to Grader: Some contestants may not use parentheses in their financial statement presentation. As long as the calculations are correct, please do not deduct points.

GoGo Corp.
Statement of Retained Earnings
For the Year Ended December 31
(in millions)

	2020	2019	2018	2017	2016
Retained Earnings January 1	\$ 7,474	\$ 7,967	\$ 8,546	\$ 8,254	\$ 7,915
Net Income	184	2,458	2,107	2,250	2,605
	7,658	10,425	10,653	10,504	10,520
Dividends	171	2,951	2,686	1,958	2,266
Retained Earnings December 31	\$ 7,487	\$ 7,474	\$ 7,967	\$ 8,546	\$ 8,254

GoGo Corp.
Balance Sheet
December 31
(in millions)

	2020	2019	2018	2017	2016
ASSETS					
Current Assets:					
Cash	2,892	159	734	3,291	1,440
Accounts Receivable	455	1075	1053	636	682
Inventory	5,632	8,048	7,238	4,045	4,435
Prepaid Expenses	507	542	480	332	289
Other Receivables	353	317	267	225	354
Total Current Assets	9,839	10,141	9,772	8,529	7,200
Property, Plant & Equipment:					
Building (net)	110	149	138	99	119
Equipment & Store Fixtures (net)	4,554	7,328	6,925	4,678	5,289
Notes Receivable (due in 10 years)	134	167	147	125	142
Total Property, Plant & Equipment	4,798	7,644	7,210	4,902	5,550
Total Assets	14,637	17,785	16,982	13,431	12,750
LIABILITIES					
Current Liabilities:					
Accounts Payable	1,402	1,433	1,132	866	1,015
Accrued Expenses	2,930	4,702	3,856	2,285	2,355
Notes Payable (due in next year)	1,164	1,289	1,546	1,169	289
Other Current Liabilities	292	818	632	441	704
Total Current Liabilities	5,788	8,242	7,166	4,761	4,363
Long-Term Liabilities:					
Pensions	90	93	74	53	74
Notes Payable	1,243	1,947	1,746	42	30
Total Liabilities	7,121	10,282	8,986	4,856	4,467
OWNERS' EQUITY					
Common Stock	29	29	29	29	29
Retained Earnings	7,487	7,474	7,967	8,546	8,254
Total Liabilities & Stockholders' Equity	14,637	17,785	16,982	13,431	12,750

Note to Grader: Some contestants may not use parentheses in their financial statement presentation. As long as the calculations are correct, please do not deduct points. Also, please allow similar headings.